

Amazon.com, Inc.

AMZN NASDAQ

Buy	\$227.82 ▼ 1.32%	12M Price Target \$260.00	52-Week Range \$196.00 – \$278.56	Market Cap \$2.45T
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AMZN: Pre-Earnings Jitters, But Setup Still Intact

WHAT HAPPENED

- AMZN down 1.3% on tiny volume (6M vs usual 40M+) — that low volume is telling. It's not panic selling, it's just nobody wants to buy ahead of earnings next week. Classic pre-print de-risking.
- Bigger story: money is visibly rotating OUT of Big Tech into Energy (+2.6%) and Staples. The "S&P 8,500 melt-up" narrative is being led by beaten-down sectors, not the Mag 7. AMZN is caught in that rotation.

WHY IT MATTERS

The options flow is what I'd focus on — traders are loading up on out-of-the-money puts (bets the stock falls) at \$275, \$282, \$297 strikes with insane volume vs. open interest (222x on one strike). That's not bearish per se — it looks more like hedging by people who ALREADY own the stock and want protection through the Q2 print. Translation: institutions are staying long but buying insurance, which tells you they expect volatility but not a collapse. The real question next week: does AWS growth reaccelerate above 18%? If yes, this thing runs back to \$250+ fast because the tariff fear gets priced out. If AWS disappoints, the stock has a lot of air under it down to \$210.

POLICY & POLITICAL WATCH

Two things on the political radar: (1) Trump's tariff regime — Amazon's retail arm imports heavily from China and Southeast Asia, so any tariff escalation squeezes margins on the 3P (third-party seller) marketplace. Watch for whether the administration extends the current tariff pause. (2) FTC posture on Big Tech — the antitrust case against Amazon is still active but the current administration has been more business-friendly, so the tail risk of a forced breakup is way lower than 18 months ago. Net-net: regulatory environment is friendlier than it was, but trade policy is the real swing factor.

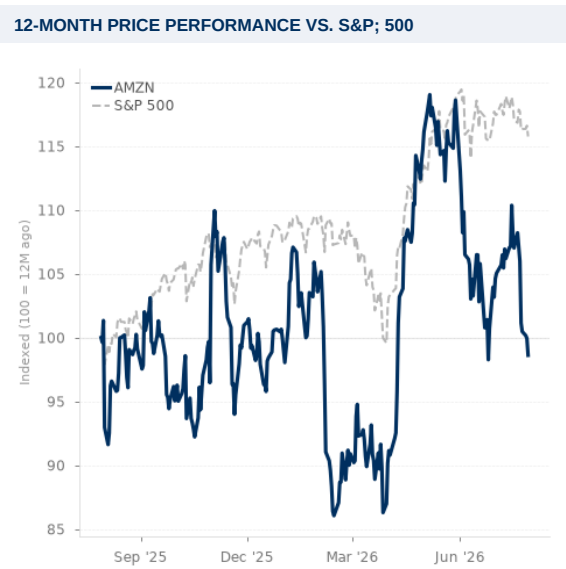
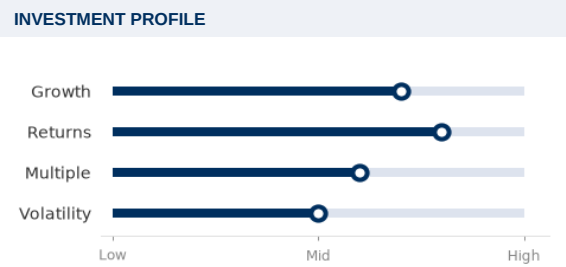
IS IT EXPENSIVE?

At ~35x forward earnings (meaning you're paying \$35 for every \$1 of profit the company will make next year), AMZN isn't cheap but it's actually the most reasonably priced of the megacaps when you factor in AWS growth. Compare to Microsoft at ~33x with slower cloud growth, or Nvidia at ~40x with peak-cycle risk. The setup: if AWS growth stays north of 17%, this multiple holds; if it slips to low-teens, the stock re-rates to \$200.

WHAT COULD GO WRONG

- Tariff escalation hits the retail business — Amazon absorbs some, passes some to sellers, but either way it dents margins right when Wall Street wants to see margin expansion.

Key Data	
Price (USD)	\$227.82
12M Price Target	\$260.00
Upside / (Downside)	+14.1%
Market Cap	\$2.45T
FY2026E Revenue	\$715M
FY2027E Revenue	\$790M
FY2026E EPS	\$6.45
FY2027E EPS	\$7.80
Fwd P/E	35.3x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$245.00	\$232.00	\$210.00
6 Months	\$265.00	\$245.00	\$205.00
1 Year	\$290.00	\$260.00	\$200.00
2 Years	\$340.00	\$295.00	\$210.00
5 Years	\$450.00	\$380.00	\$240.00
10 Years	\$700.00	\$520.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.6% today) — oil catching a bid, plus tailwind from any Middle East tension. Staples and Healthcare quietly outperforming on 5-day basis — that's defensive rotation, meaning big money is getting cautious.

COOLING OFF: Communication Services and Tech-adjacent names are flat-to-down. The "money leaving Big Tech" narrative is real and it's showing up in the tape.

ROTATION WATCH: Money is moving from megacap tech into cyclical and defensive simultaneously — that's an unusual combo that usually signals investors are hedging both ways ahead of a macro event (likely the Fed or earnings season peak).

RELATED PLAY: If you want the AMZN thesis without the retail overhang, look at pure-play cloud infrastructure and data center REITs — they get the AI capex tailwind without the tariff exposure.

WHO'S WINNING IN THIS SPACE?

- XOM (Exxon): Energy sector ripping, oil bid, and buybacks continuing.
- Defensive megacaps in Staples/Healthcare quietly making new highs on the rotation trade.

AMZN CONTEXT: AMZN is lagging its megacap peers this week — MSFT and META report this week and are holding up better because expectations are more calibrated. AMZN reports next and has the highest bar. Lagging into a print isn't necessarily bad — sometimes that's the setup for a beat-and-rally.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the long-term setup but I'm not pounding the table into an earnings print with bearish options flow.

POSITION SIZE: 4-6% of portfolio — this is a core holding, not a trade. Size it like one.

ENTRY POINTS: \$220-225 is a nice pre-earnings entry. If it dips to \$210-215 post-print on a mixed number, that's where I'd back up the truck.

TIME HORIZON: 12-18 months. The catalyst is AWS growth reacceleration as AI workloads hit the P&L in a real way in 2027.

WHEN TO BAIL: If AWS growth prints below 15% two quarters in a row, or if retail operating margin goes backwards. Either of those means the thesis is broken.

HEDGING: Simplest hedge — if you own 100 shares, buy one put option at the \$210 strike expiring after earnings. Costs you maybe \$3-4 per share but caps your downside. Think of it like collision insurance on your car.